

NUCOR®

Pablo Feher, Naia Olea, Tuna Narin, Isaac Anwar & Jordi Tapies



INVESTMENT CASE

INVESTMENT CASE

BUY

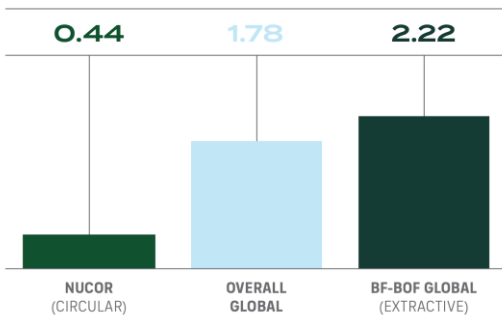
CP: USD 145.0 (05-11-25)
TP: USD 172.8

Company Overview

Sector	Steel / Industrials
Sales \$m (FY24)	30,734
HQ	Charlotte, NC
Employees	32.000 +
Listing	NYSE, NUE
Ticker	NUE

SCOPE 1 & 2 INTENSITY¹

(METRIC TONS OF CO₂ EQ. PER METRIC TON OF STEEL PRODUCED)



Why Nucor?

- 100% EAF vs. competitor's BF-BOF: ~60% lower energy use (10 vs 24 GJ/t) and ~70% lower CO₂ emissions (0.7 vs 2.3 tCO₂/t). Structural conversion-cost edge + supports the increasing low-carbon demand.
- Diversified business activity portfolio (Mills + Steel Products + Raw Materials. Resilient & balanced earnings across the steel cycle supported by integrated operations and downstream diversification with exposure to infrastructure, construction, energy & industrial sectors.
- Impeccable dividend track record: 210th consecutive quarterly dividend (Sept 2025) and 52 consecutive years of base-dividend increases (Dec 2024). Among the longest streaks in U.S. industrials. Active buybacks (4.8m shares YTD at ~\$126, with \$506m remaining authorization) underscore Nucor's commitment to sustained EPS growth and long-term shareholder value creation.

Bloomberg Estimates

\$m	2025	2026	2027	2028
Revenue	32.566,0	34.342,5	36.050,0	38.558,0
Gross Margin	12,60%	15,00%	16,10%	17,40%
EBITDA	4.329,7	5.202,8	5.836,4	6.534,7
Net Income	1.814,5	2.455,6	2.885,6	3.833,5

Financial Overview (05-11-2025)

Market Cap (bn\$)	33.34
Enterprise Value (bn\$)	38.61
EV/EBITDA	9.64x (+27.83% YoY)
P/E	20.4x (+26.39% YoY)
Shares	230.750.506
Beta	1.94
EPS	5.58

Why Now?

- FERC Orders 1920/1920-A mandate 20-year regional transmission planning and facilitate right-sized replacements, forcing more lines to be planned and built. DOE is already funding upgrades, including a \$1.6bn loan guarantee to AEP to rebuild ~5,000 miles of transmission.
- The IEA projects data-centre electricity demand to more than double by 2030, led by AI, accelerating construction of campuses, dedicated substations, and new transmission links → highly steel-intensive.
- Tighter U.S. market via trade protection. June 2025: U.S. raised Section 232 steel tariffs to 50% (from 25%), curbing discounted imports and supporting a higher price floor/better spreads for domestic producers → benefiting Nucor's national footprint.

COMPANY OVERVIEW

BUSINESS MODEL & VALUE PROPOSITION

Company Description

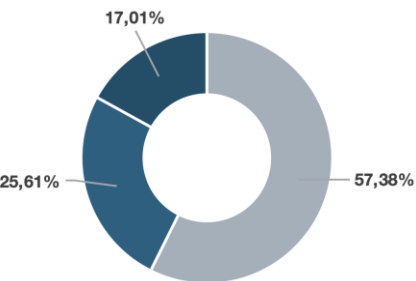
- U.S.-based steel producer and largest recycler in North America.
- Operates 100% via Electric Arc Furnaces (EAF), delivering lower cost, lower energy use, and lower CO2 emissions, with flexible metallics (scrap, DRI, pig iron).
- Diversified across three segments: Steel Mills, Steel Products, Raw Materials
→ End-market exposure: infrastructure, non-residential construction, energy, industrial.
- Capital and growth strategy: disciplined shareholder returns and targeted expansion in grid and transmission components, data-centre infrastructure, and high-spec building products.



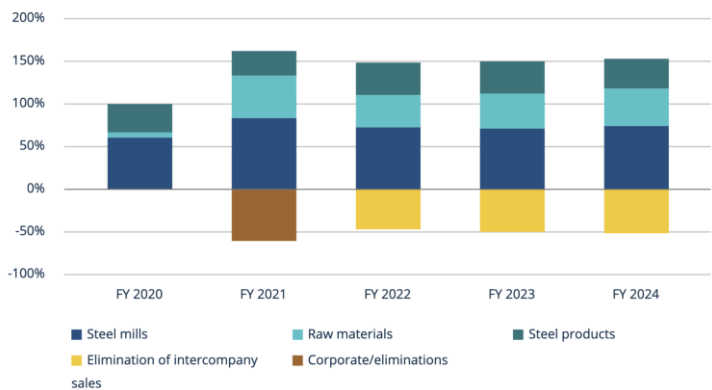
Regional Sales & Infrastructure

- U.S.-driven sales: vast majority of revenue from U.S. customers.
- Nationwide footprint close to demand: Mills + downstream plants across Midwest/South/coasts → shorter lead times and lower freight.
- Integrated supply & logistics: DRI (Louisiana, Trinidad), DJJ scrap network, and a large independent railcar fleet ensure reliable metallics and distribution.
- Capacity expansions align with growth regions: New 3 Mt/yr sheet mill in Apple Grove to target Midwest/Northeast customers. Start-up expected in 2H 2026.

% Contribution to Revenues By Segment (2024)



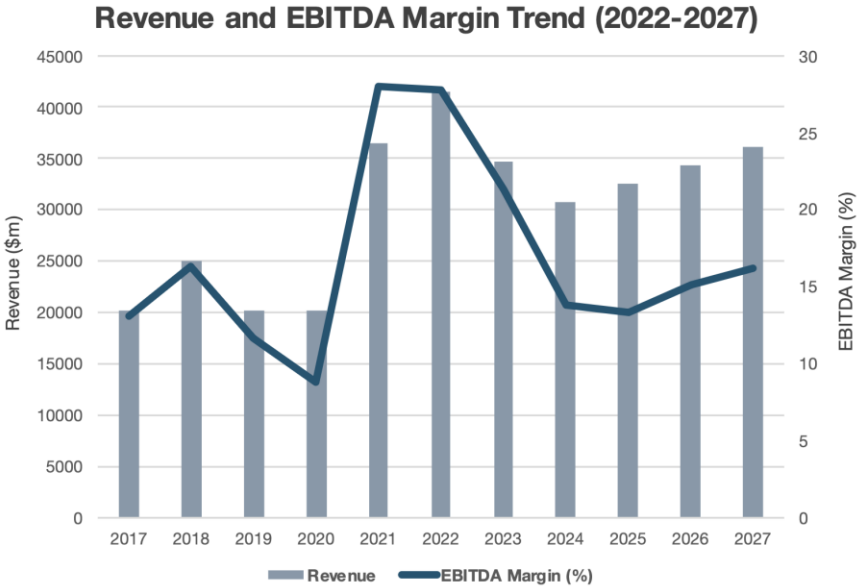
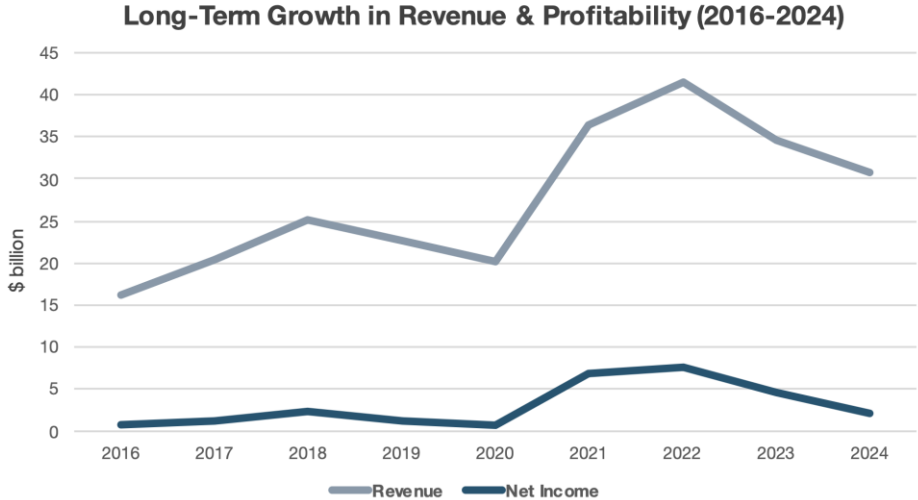
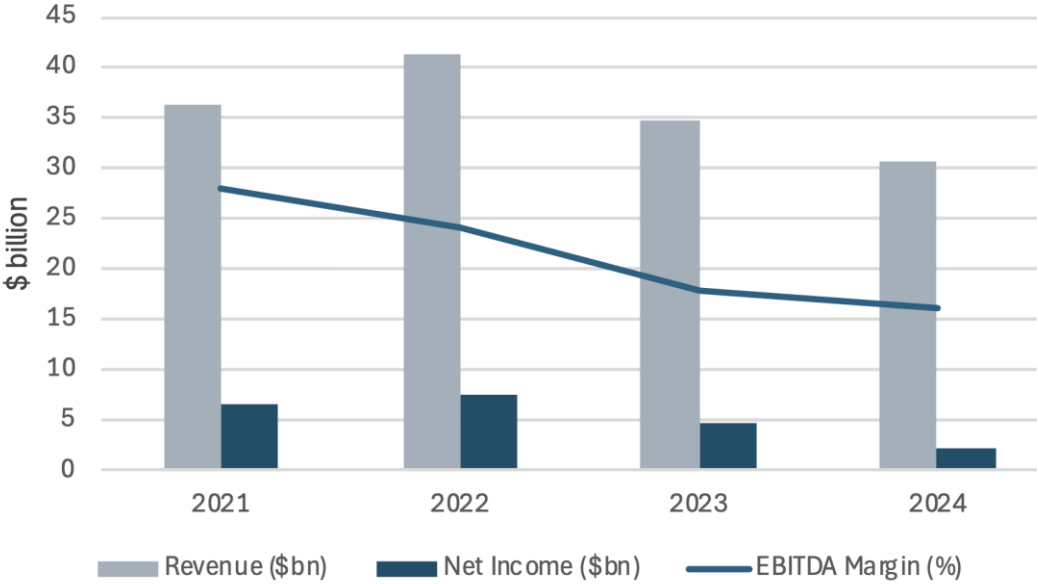
Business Unit Revenue (% Contribution)



BUSINESS MODEL & VALUE PROPOSITION

Past Performance

- Steel price normalization & spreads: after the post-COVID spike (US HRC ~\$1,945/t in Sept-2021), prices normalized around \$700–800/t in 2023-24 and ~\$850/t in late 2025. However, shred/prime scrap have only fallen ~\$100–150/t from highs, tightening EAF metal spreads.
- Demand slowdown: higher rates cooled construction and manufacturing. The ISM Manufacturing PMI was <50 in 2024–2025, and weaker housing cut orders for rebar, beams, and sheet.
- Input-cost pressure: 1) Energy prices peaked after the Russia–Ukraine shock and stayed volatile, keeping margins tight. 2) Labor costs remained high: U.S. Employment Cost Index up 3.8–3.9% YoY through late-2024 to mid-2025, limiting operating-expense relief even as steel prices eased.



MARKET ANALYSIS

STEEL INDUSTRY

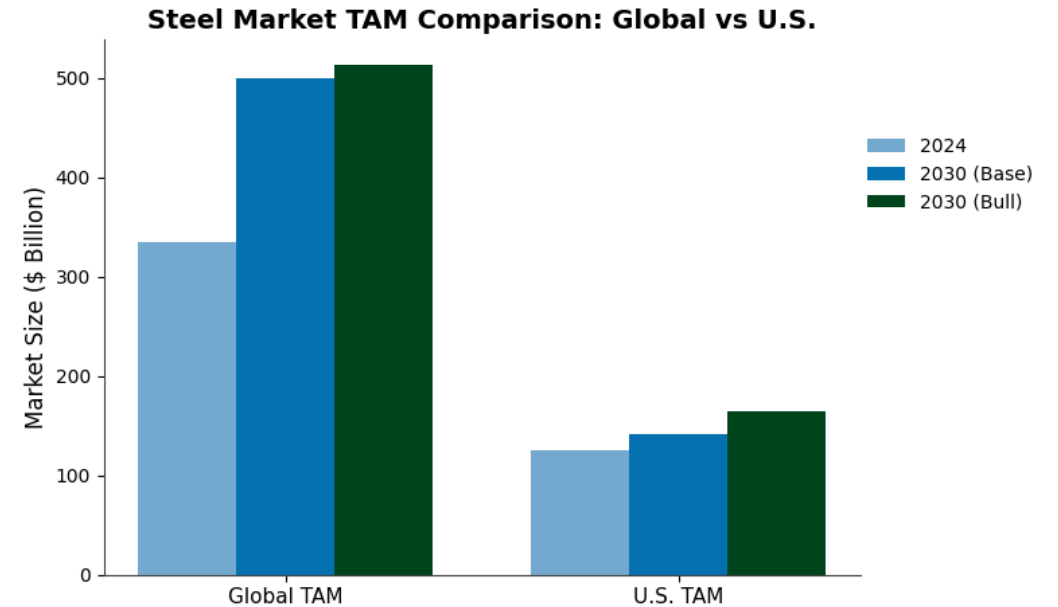
Industry Context

Sector Growth Drivers – Key Trends

- **Infrastructure & Policy Tailwinds:** U.S. Infrastructure and CHIPS Acts drive long-term demand in construction, manufacturing, and logistics.
- **AI & Data Centers:** Massive build-out (~60M sq ft in 2025) adds thousands of tons of structural steel for each facility.
- **Energy Transition:** Wind, solar, and grid projects add ~50 Mt of annual steel demand globally by 2030.
- **Decarbonization Advantage:** Shift to EAF reduces CO₂ emissions by ~75% vs. blast furnaces, unlocking “green steel” premiums.
- **Trade Barriers:** 50% U.S. tariffs and “melted-and-poured” rules sustain domestic pricing and protect producers from imports.
- **China Overcapacity:** 1,065 Mt capacity vs. 900 Mt demand → record exports, keeping global prices under pressure.
- **Scrap Tightening:** EAF expansion worldwide expected to rise scrap prices by 10–20% after 2027.

TAM Evolution and Forecast

- **Global TAM:** \$335 B (2024) → > \$500 B by 2033 (CAGR ~5.4%).
- **U.S. TAM:** \$125 B (2024) → \$142 B by 2030; tariffs + reshoring sustain utilization ~80%.
- **Bull Scenario:** Up to \$513 B and \$165 B by 2030 with strong EV/infrastructure acceleration.



STEEL INDUSTRY

Porter's Five Forces

Force	Industry Situation	Underlying Drivers
1. Industry Rivalry	High. Intense competition as demand grows slowly and capacity remains high. Price cycles are frequent, and margins depend on input and energy costs.	Global overcapacity (notably in China), regional protectionism (U.S. tariffs), limited product differentiation, and strong incumbents such as Steel Dynamics, Cleveland-Cliffs, ArcelorMittal, and Gerdau.
2. Threat of New Entrants	Low. Entering steel production requires massive capital investment, technological know-how, and environmental compliance.	High capex, regulatory constraints, need for raw-material access, and U.S. policy barriers deter newcomers.
3. Supplier Power	Moderate. Dependence on scrap, iron ore, and energy exposes producers to cost volatility, but larger mills offset this with vertical integration and long-term contracts.	Global scrap market tightening expected post-2027, energy price fluctuations, and logistical bottlenecks.
4. Buyer Power	Moderate. Buyers include automotive, construction, energy, and manufacturing firms with bargaining leverage but limited alternative materials for core structural needs.	Demand concentration in large OEMs and contractors; ESG and low-carbon preferences creating segmentation (green-steel premiums).
5. Threat of Substitutes	Low to Moderate. While aluminum, composites, and plastics compete in some segments, steel remains irreplaceable in heavy construction and infrastructure.	Strength-to-cost advantage, recyclability, and circular-economy alignment maintain steel's dominance despite innovation in alternative materials.

STEEL INDUSTRY

Nucor's Growth Catalysts

Technology Leadership & Automation

- Nucor leads in **EAF (Electric Arc Furnace)** and **DRI (Direct Reduced Iron)** technology.
- It controls **3.5 M metric tons of DRI** and **recycles 18 Mt of scrap annually**, ensuring feedstock security and cost control.
- Its EAF steelmaking emits only **~0.77t CO₂/ton**, far below traditional mills.
- Ongoing investments in **AI, automation, and real-time mill analytics** improve efficiency, safety, and energy use.
- The **micro-mill model** allows flexible regional production closer to demand, reducing logistics costs.



Product & Geographic Expansion:

- Expanding into **engineered steel components**: data-center cabinets, panels, transmission towers, and structural systems.
- The **Towers & Structures division** is building automated plants in **Utah, Alabama, and Indiana**, targeting the **utility grid modernization** market.
- Focus on high-growth U.S. regions — particularly the **Southeast and Southwest**— projected to reach **\$567B in construction by 2030**.
- These regions align with population growth, energy expansion, and reshoring trends, giving Nucor geographic demand visibility.

STEEL INDUSTRY

Nucor's Growth Catalysts

Strategic M&A & Vertical Integration

Recent acquisitions include:

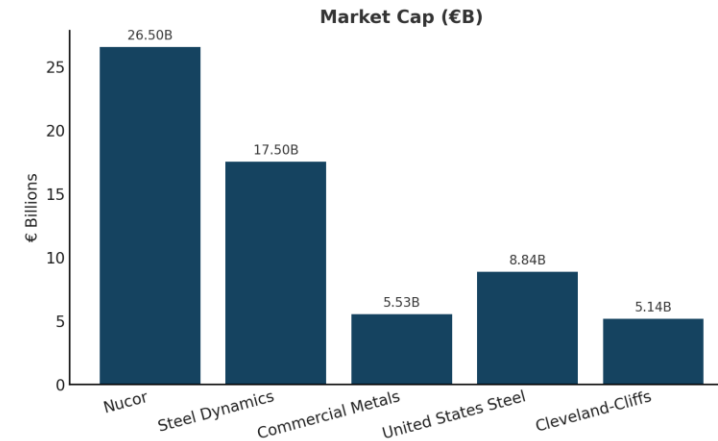
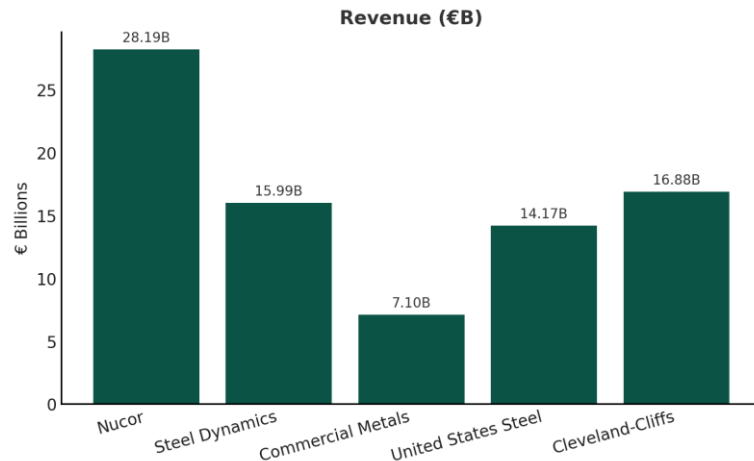
- **California Steel:** expanded Nucor's flat product presence on the **West Coast**, strengthening regional market access and product diversity.
- **CHI Doors:** added specialty commercial and industrial door solutions, enhancing Nucor's fabricated **product portfolio** and downstream capabilities.
- **Rytec:** extended Nucor's reach in high-performance fabricated doors, **broadening offerings** to industrial and commercial sectors.
- **Summit Utility Structures:** deepened Nucor's footprint in the **utility infrastructure market** with specialized transmission towers and poles.
- **Nexii:** its investments supports Nucor's sustainability strategy by integrating low-carbon, modular building panels that reduce embodied emissions and align with **green construction** trends.



STEEL INDUSTRY

Nucor's Competition

	Nucor	Steel Dynamics	Commercial Metals	United States Steel	Cleveland-Cliffs
Description	Manufacturer of steel and steel products based in Charlotte, North Carolina.	Manufacturer of steel and steel products in the Fort Wayne, Indiana.	Manufacturer of steel & metal products based in Irving, Texas.	Manufacturer of steel products intended to make next-generation steels that contribute to reducing carbon and make the planet sustainable.	Operator of iron ore mines intended for the beneficiation and pelletization process leading to the production of iron and steel.
Primary Industry	Iron and Steel Mining	Iron and Steel Mining	Iron and Steel Mining	Iron and Steel Mining	Iron and Steel Mining
HQ Location	Charlotte, NC	Fort Wayne, IN	Irving, TX	Pittsburgh, PA	Cleveland, OH
Employees	32.700	13.000	12.690	22.053	23.000
Market Cap	€26,50B	€17,50B	€5,53B	€8,84B	€5,14B
Revenue	€28,91B	€15,99B	€7,10B	€14,17B	€16,88B
Enterprise Value	€31,19B	€20,28B	€5,92B	€11,70B	€11,87B
Size Multiple	213,03x	64,22x	636,85x	201,60x	106,99x
Nucor Differentaition		Nucor operates on a larger scale with broader product diversification and stronger vertical integration.	Nucor has far higher capacity, revenue, and a more diversified steel portfolio beyond rebar and long products.	Unlike U.S. Steel's legacy blast furnaces, Nucor relies entirely on EAFs, making it more cost-efficient and sustainable.	While Cleveland-Cliffs controls iron ore supply, Nucor's scrap-based model offers greater flexibility and lower carbon intensity.



FINANCIAL ANALYSIS & VALUATION

FINANCIAL ANALYSIS & VALUATION

DCF Assumptions

Parameters

Time Horizon: Historical period: 2015–2024, **Forecast period:** 2025–2029 (5-year projection)

This time horizon fully captures revenue growth and returns on key investments as well as the stabilization of margins and other key aspects.

Key Inputs and Valuation Parameters:

- **Terminal Growth Rate (TGR):** 2.9%, Anchored to long-run U.S. inflation expectations. Company is assumed to grow in line with the broader economy over the long term.
- **Risk-Free Rate:** 4.081%, Based on the yield of the U.S. 10-year Treasury note.
- **Expected Market Return:** 10%, Implies an **equity risk premium** of 5.9% over the risk-free rate.
- **Beta (5Y):** 1.669, Computed using the Yahoo Finance data library.
- **Cost of Equity:** 14%, Derived from the **CAPM formula** using the above assumptions.
- **After-Tax Cost of Debt:** 2.66%, Based on a **pre-tax cost of debt of 3.33%** and an **effective tax rate of 20.09%**.
- **Capital Structure:** 76% equity / 24% debt
- **WACC:** 11.22%, Computed using the weighted average of the cost of equity and after-tax cost of debt.

Forecasting Assumptions

- **Revenue Trends to 2029:** Multiple scenarios model varying revenue growth. By 2029, revenue projections assume a base case of \$40B in revenue.
- **Shares Outstanding:** 223 M, A **diluted average share count** is assumed, with share repurchases offsetting dilution from equity-based compensation.
- **Operating Margins:** Expected to converge toward **13.1%**, by 2029, with different scenarios highlighting faster/slower operating efficiency.
- **Tax Rate:** Expected to stabilize around the **20.8% historical average**, with alternative cases extending up to **one standard deviation** from the mean.
- **Depreciation:** Projected to increase as a result of **higher capital expenditures** in recent years.
- **Capital Expenditures (CapEx):** Forecasted to grow during 2025 **in line with company guidance**, then **return to historical averages** as new investment projects stabilize.
- **Change in Working Capital:** Estimated using projected **DSO, DIO, and DPO** based on historical averages and expected changes in **net working capital (NWC)**.

Sensitivity Tables (Wacc to TGR)

Base Case

172,80	2,60%	2,70%	2,80%	2,90%	3,00%	3,10%	3,20%
10,62%	182,58	184,64	186,76	188,92	191,15	193,43	195,78
10,82%	177,29	179,23	181,23	183,27	185,37	187,53	189,74
11,02%	172,24	174,09	175,97	177,91	179,89	181,92	184,00
11,22%	167,44	169,18	170,97	172,80	174,67	176,59	178,56
11,42%	162,85	164,51	166,20	167,93	169,70	171,52	173,38
11,62%	158,47	160,04	161,65	163,29	164,97	166,69	168,45
11,82%	154,29	155,78	157,30	158,86	160,46	162,09	163,75

• Potential Upside

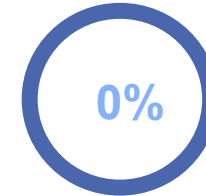


• Standard Deviation: 10.83

Conservative Case

144,19	2,60%	2,70%	2,80%	2,90%	3,00%	3,10%	3,20%
10,62%	152,42	154,14	155,92	157,73	159,60	161,52	163,48
10,82%	147,97	149,60	151,27	152,99	154,75	156,55	158,41
11,02%	143,73	145,28	146,86	148,48	150,14	151,85	153,59
11,22%	139,70	141,16	142,66	144,19	145,76	147,37	149,02
11,42%	135,85	137,23	138,65	140,11	141,59	143,11	144,67
11,62%	132,17	133,49	134,83	136,21	137,62	139,06	140,53
11,82%	128,65	129,90	131,18	132,49	133,82	135,19	136,59

• Potential Upside

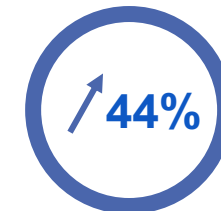


• Standard Deviation: 9.09

Optimistic Case

207,74	2,60%	2,70%	2,80%	2,90%	3,00%	3,10%	3,20%
10,62%	219,42	221,89	224,41	227,01	229,67	232,40	235,20
10,82%	213,10	215,43	217,81	220,26	222,77	225,34	227,98
11,02%	207,08	209,28	211,53	213,84	216,21	218,64	221,13
11,22%	201,34	203,42	205,56	207,74	209,98	212,28	214,63
11,42%	195,86	197,84	199,86	201,93	204,05	206,22	208,45
11,62%	190,63	192,51	194,43	196,39	198,40	200,45	202,56
11,82%	185,63	187,41	189,24	191,10	193,01	194,95	196,95

• Potential Upside



• Standard Deviation: 12.93

COMPS ANALYSIS

Industry Players

	Revenue (TTM)	EBITDA (TTM)	Net Income (TTM)
Nucor	31.883,0	4.024,0	5.541,0
Steel Dynamics	17.635,0	1.934,0	18.813,0
Olympic Steel	1.898,9	68,3	13,8
Cleveland-Cliffs	18.622,0	-206,0	198,0
Reliance	13.922,0	1.278,4	-103,4
Industrias CH SA de CV Class B	1.769,7	339,5	5.016,0

EV/Revenue	EV/EBITDA	P/E	
1,21	9,60	20,15	
1,44	13,13	19,90	
0,34	9,40	29,29	
0,76	-68,44	-3,08	
1,13	11,03	19,96	
1,76	41,53	22,92	
1,08	18,77	23,02	Average
1,13	12,08	21,44	Median

Implicit Price

- **Steel Dynamics:** Efficient EAF-based producer and Nucor's closest peer, but smaller scale and less vertically integrated.
- **Olympic Steel:** A service center dependent on external mills, lacking Nucor's production control and integration.
- **Cleveland-Cliffs:** Integrated blast-furnace operator strong in auto steel but far higher in emissions and less agile than Nucor.
- **Reliance:** Leading metals distributor without Nucor's production or low-carbon manufacturing advantage.
- **Industrias CH SA de CV Class B:** Regional EAF player in Mexico with smaller scale and limited downstream diversification compared to Nucor.

Share Price				
Revenue	EBITDA	Net Income	Average Price	Upside
132,75	310,16	164,45	202,45	41%
138,39	193,49	153,20	161,69	12%

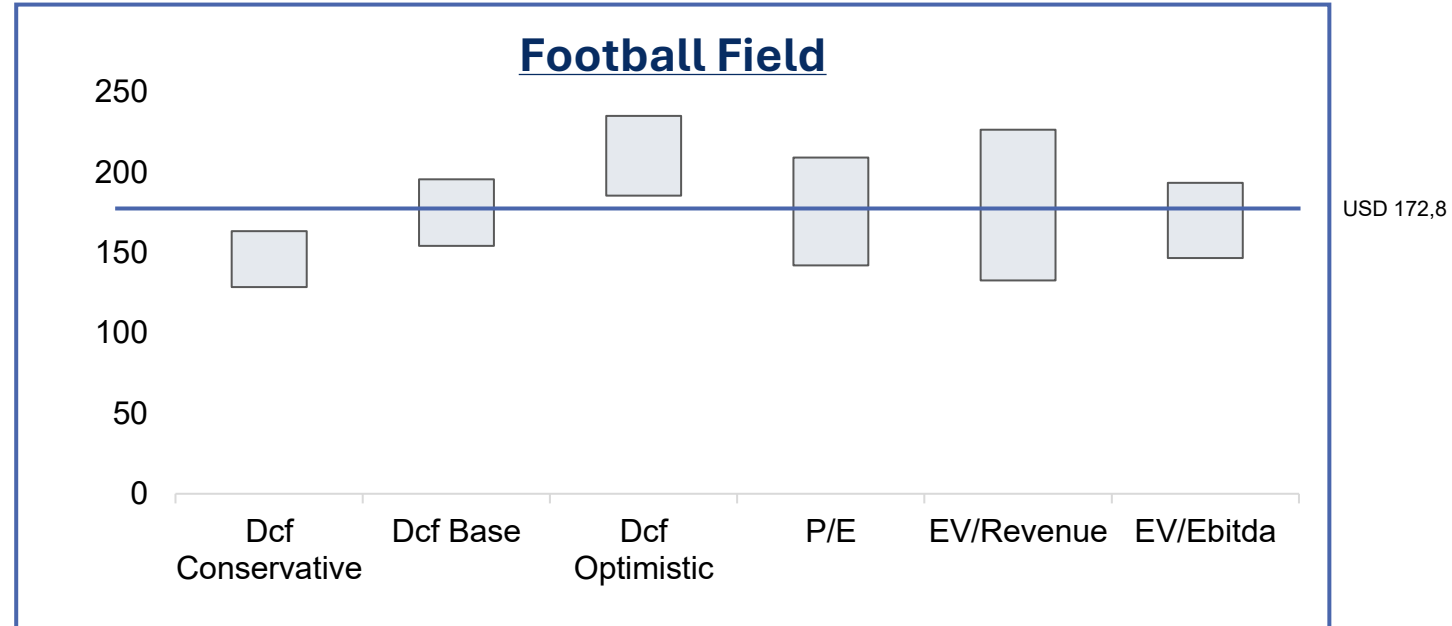
FINANCIAL ANALYSIS & VALUATION HIGHLIGHTS

Base Case

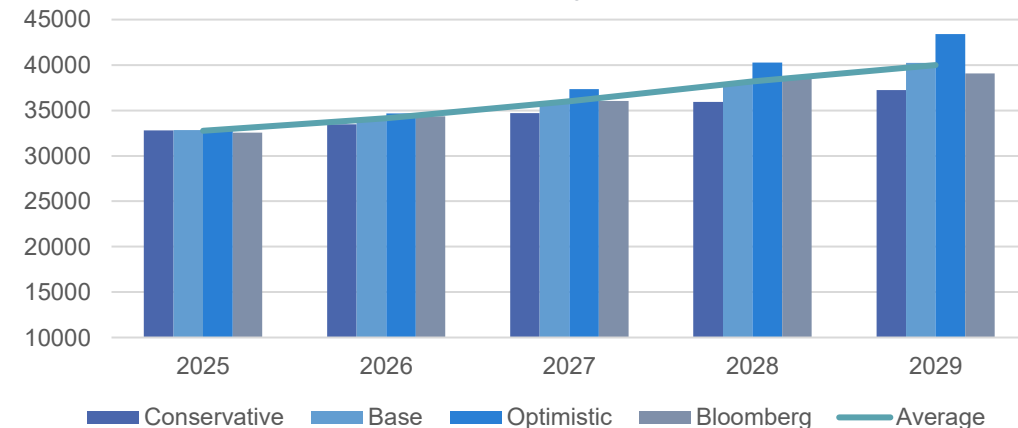
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Key Ratios

- **4.15** Altman Z-score
- **20.43** ROIC (5Y average) > **11.22** WACC
- **1.86%** Dividend Yield



Revenue Projections



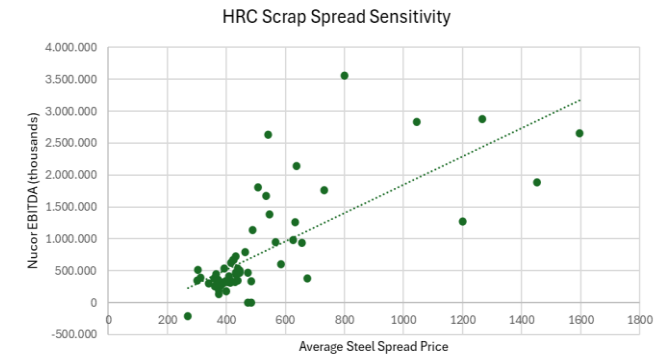
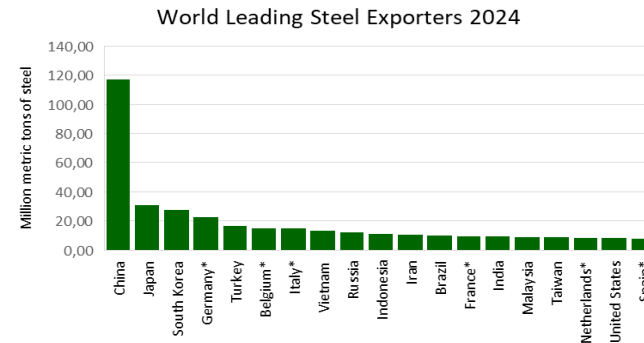
STATISTICAL ANALYSIS & PRICE FORECASTING

RISKS

STRUCTURAL RISKS

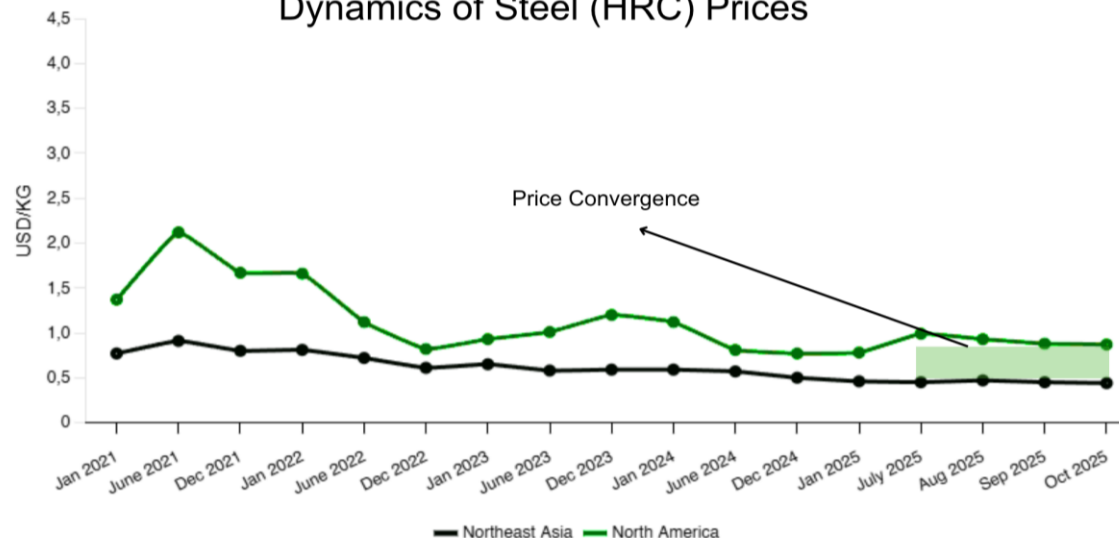
OVERCAPACITY OF STEEL

- **External overcapacity:** the global production of steel is starting to exceed the actual demand, creating an excess of supply.
- China alone produces more than half of the world's steel, and when Chinese domestic demand slows, that excess supply flows into export markets, pushing lowering global prices.
- **Relaxed trade policies:** could dampen steel manufacturers' margins, exposing the U.S. steel market to **discounted steel prices**.
- If China continues to dominate over half of steel output, any export surge from Asia lowers global prices, pulling U.S. benchmarks down even under tariff protection.



- **R (Pearson Coefficient of Correlation) = 0.74** → Nucor's Sensitivity to HRC prices
- **Ex: \$50 drop in HRC prices** → **\$37 drop in EBITDA**

Dynamics of Steel (HRC) Prices



Capital Expenditure

- **Largest Capacity Investment in History:** \$3 billion CAPEX investment in 2025, building \$4 billion sheet mill in West Virginia and plate mill in Kentucky.
- While promising major EBIDTA upside, a combination of execution and market uncertainty lays some risks.
- A sustained level of capital expenditure without a corresponding increase in **ROIC** would pose a **threat** to **free cash flows**. However, Nucor expects investment levels to decline once the current investment phase is completed.

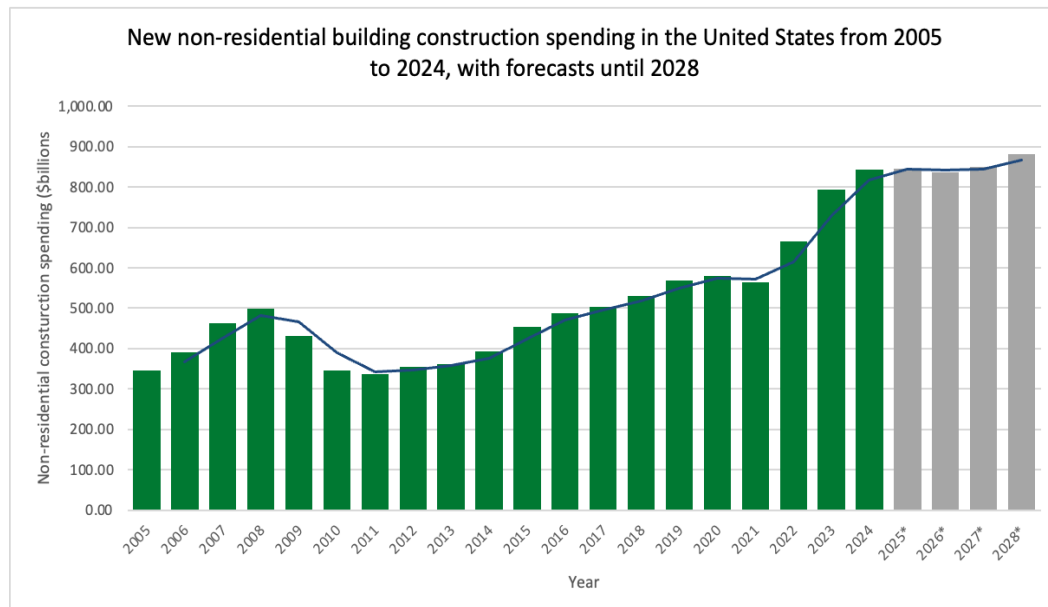
RISKS

DEMAND-SIDE RISKS

"market demand for steel products, which, in the case of many of our products, is driven by the level of nonresidential construction activity in the United States" - *Nucor 2024 Earnings Call*

CONSTRUCTION & INFRASTRUCTURE

- The AIA Architecture Billings Index fell from 54 to 44, indicating static/weakening non-residential construction activity.
- Government data foresee a medium-term slowdown in new non-residential spending.
- A continued softness in this segment could threaten Nucor's largest end market.



MONETARY POLICY SENSITIVITY



- The price of Nucor's stock is highly linked to the interest rate cyclical, suggesting macro related sensitivity.

MONTECARLO SIMULATION 12 MONTH FORECAST

Past Volatility and 12-month Stock Price Forecast

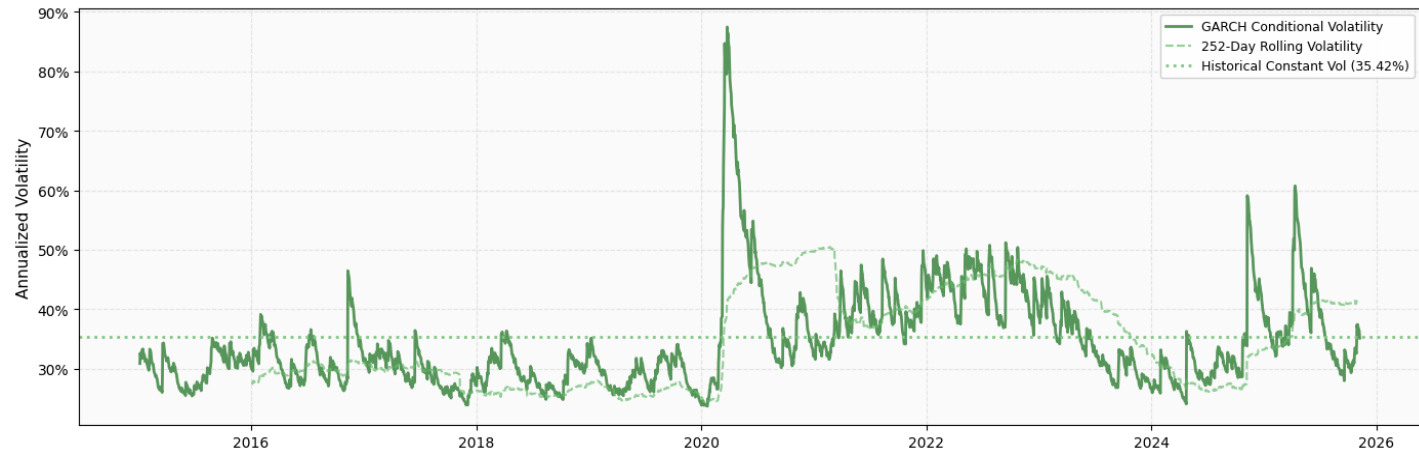
Fixed Parameters

- **Number of Simulations:** 20,000
- **Trading Days:** 252
- **Time Intervals:** 1 Day
- **Horizon (Years):** 1
- **Starting Price:** \$144.31
- **Expected Return (Drift):** 13.16%
- **Volatility (GARCH):** 35.13%

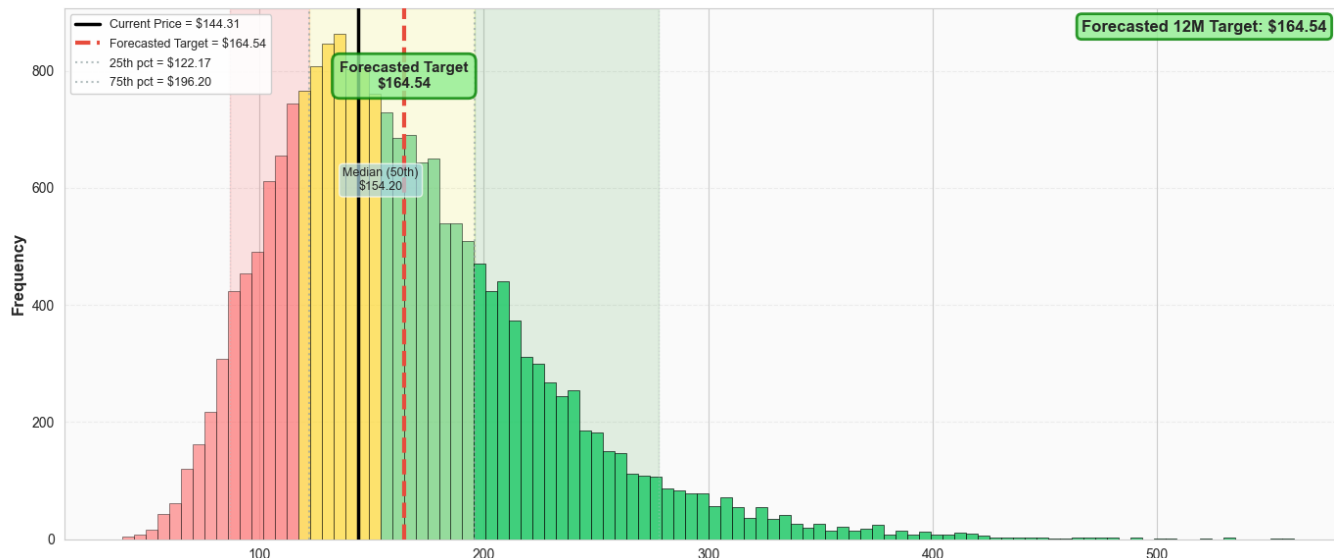
Random Variables

1. **Random Shock**
2. **Price at Given Time**
3. **Final Price**

NUE - GARCH(1,1) Fitted Volatility vs Historical Volatility



NUE – Monte Carlo Simulation: 12M Price Forecast (GARCH Volatility)



Montecarlo Takeaways

Current Price:	\$144.31
Forecasted 12M Target:	\$164.54
Expected Return:	+14.02%
Upside Potential (75th):	35.96%
Downside Risk (25th):	15.34%

EXECUTIVE SUMMARY

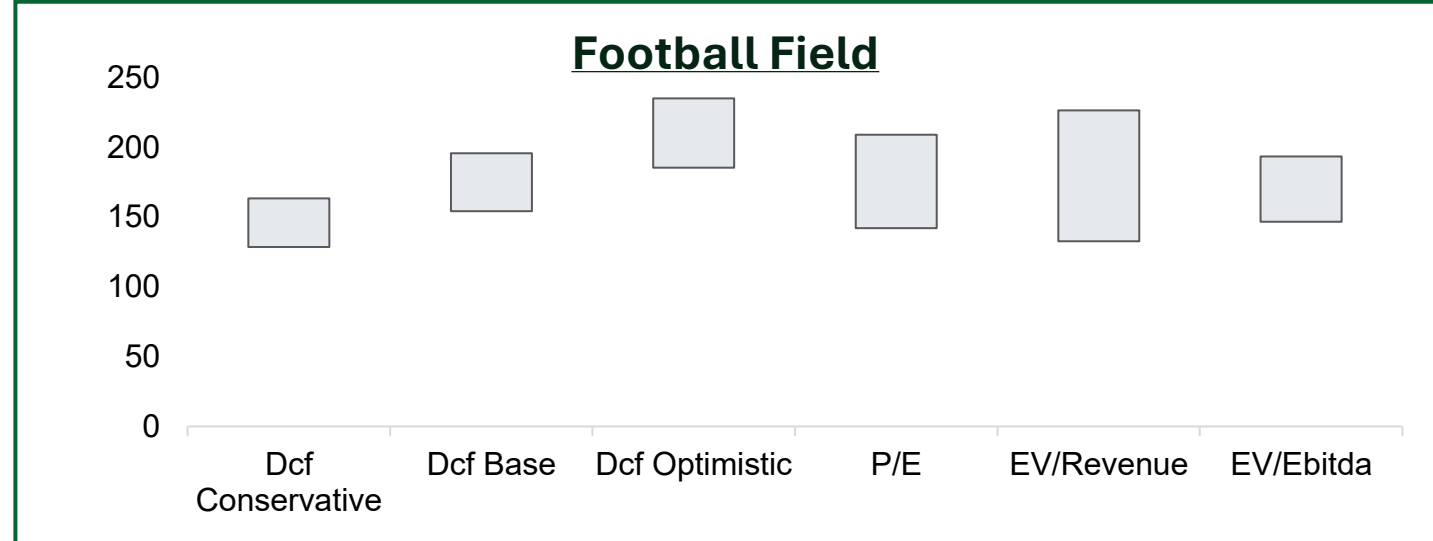
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11,42%	162,85	164,51	166,20	167,93	169,70	171,52	173,38
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11,82%	154,29	155,78	157,30	158,86	160,46	162,09	163,75

NUCOR'S OWNERSHIP

Ownership	Name	Shares	Current Value	Change %	Portfolio %	
12.7%	The Vanguard Group, Inc.	29,171,068	US\$4.2b	0.73%	0.05%	
10.7%	State Farm Mutual Automobile Insurance Company	24,496,294	US\$3.5b	0%	2.78%	
8.34%	BlackRock, Inc.	19,144,179	US\$2.8b	-3.98%	0.04%	
5.45%	State Street Global Advisors, Inc.	12,501,779	US\$1.8b	3.07%	0.06%	
2.88%	Berkshire Hathaway Inc.	6,614,112	US\$954.5m	14.9%	0.34%	

VALUATION



Growth Catalysts

- **Expanding into high-value engineered steel components** (data centers, transmission towers, structural systems) to capture new industrial and infrastructure demand.
- **Key positioning in high growth regions, automated plants in Utah, Alabama, and Indiana** target the fast-growing **utility grid modernization** market.
- **Leadership in EAF and DRI technology** ensures **cost efficiency, feedstock security**, and **industry-leading low emissions** (~0.77t CO₂/ton).
- **AI, automation, and micro-mill model** drive **operational excellence, regional flexibility**, and **lower logistics costs**.